AUTOMOBILES · FRANCE · EURONEXT PARIS: RNO

Renault

The cash pile and the finance arm cover the market value: the car business comes almost free

● OVERWEIGHT | Conviction idea

Conviction: Medium-high | 12-18 months

THE CALL	CLOSE, 29 OCT 2026
Rating	● OVERWEIGHT
Price	€28.17
Base-case value P/E on 2027 earnings, cross-checked with a sum of the parts	€36.00
Upside to base case	+28%
Market cap	€7.7bn
52-week range	€24.38 – €37.97

01 Overview

Renault is the clearest example in our portfolio of a stock that is cheap because the market does not trust the balance sheet to stay in the hands of shareholders. Our systematic score ranked it first of 102 Consumer Discretionary stocks in December 2025, and the stock has been in the top quintile of its sector at every rebalance since 2021. This note explains how the company makes money, why the market is sceptical, and what has to happen for the discount to close.

> Renault trades at about €7.7bn while its car business holds €6.6bn of net cash and its captive bank earns roughly €1.5bn of operating profit a year. The market prices the 2026 margin trough as permanent; we think the reset is done and a product cycle is starting.

MARKET CAP	AUTOMOTIVE NET CASH	P/E 2026E (CONSENSUS)	DIVIDEND YIELD
€7.7bn	€6.6bn	4.3x	7.8%

02 The business

Renault Group sells about 2.3 million vehicles a year (2.337m in 2025) under three brands. Renault is the core volume brand, Dacia is the low-cost brand built around simple platforms and low equipment levels, and Alpine is a small sports-car brand. Most sales are in Europe; Renault has no US business.

The group has two reporting segments since 2026. Automotive makes and sells cars. Mobilize Financial Services (MFS, the former RCI Banque) lends to customers and dealers to finance those cars. MFS is a bank: it takes deposits, funds itself in the bond market and earns a spread. This is why enterprise-value multiples on Renault mislead: you cannot add a bank's debt to a carmaker's equity value and call it an enterprise value.

The third asset is a stake of roughly 35% in Nissan, according to press reports. After the 2023-2025 Alliance restructuring, the stake is held at fair value through equity. Renault took a €9.3bn non-cash accounting loss on it in 2025, which is why reported net income was about −€10.9bn even though the business made an operating margin of 6.3%.



Automotive (~88% of revenue)

Renault, Dacia and Alpine brands; a volume player in European B and C segments, with Dacia as the low-cost brand. 52% of European sales were electrified in H1 2026.

Mobilize Financial Services (~12%)

Captive car finance and leasing. Contributed €753m of operating margin in H1 2026 and pays dividends up to the car business (€250m in H1 2026, about €500m a year targeted).

Nissan stake

About 35% after the 2023-2025 Alliance restructuring, according to press reports. Carried at fair value through equity since June 2025.

Geography

No US sales, so US tariffs are a second-order risk. Growth markets are India, Turkey, Morocco and Brazil (Geely partnership in Brazil since September 2026).

03 Industry & macro

European car demand is flat. The pressure comes from Chinese manufacturers such as BYD and Geely, which sell electric cars at prices European brands struggle to match. Dacia is the most exposed because it competes on price: its volumes fell 12.8% in Q3 2026 while the group fell 6.0%.

Costs moved against carmakers in 2026. The Middle East conflict lifted raw materials, energy and freight, and Renault guided to a second half only slightly better than the first. The EU's CO2 rules push the mix toward electric cars, which are less profitable today; Renault's electric share reached 25.8% of passenger cars in Q3 2026.

Rates matter through MFS. Its margin depends on the spread between lending rates and its funding cost, and on used-car prices for leased vehicles. The S&P upgrade to BBB− in December 2025 lowers that funding cost.

EUROPEAN CAR DEMAND

−6.0%

Group volumes in Q3 2026. European demand is flat and Chinese brands are gaining share in the low-cost segment where Dacia plays.

INPUT COSTS

Middle East

The 2026 Middle East conflict lifted raw-material, energy and logistics costs; management expects H2 margin only slightly above H1.

EV TRANSITION

25.8%

Share of electric cars in Q3 2026 passenger-car sales. EU CO2 rules force the mix shift and compress pricing.

RATES AND CREDIT

BBB–

Investment-grade rating (S&P, Dec 2025) lowers funding cost for Mobilize, whose margin depends on rates and used-car prices.

04 What happened

The events that shaped the stock, in order.

15 Jun 2025
CEO Luca de Meo announces his departure

15 Jul 2025
Profit warning: 2025 margin cut to ~6.5%, FCF to €1.0-1.5bn; shares fall up to 17%

30 Jul 2025
François Provost named CEO

H1 2025
€9.3bn non-cash loss on the Nissan stake

18 Dec 2025
S&P upgrade to BBB−, investment grade

19 Feb 2026
FY2025: 6.3% margin, €1.5bn FCF, €2.20 dividend, 2026 guide ~5.5%

10 Mar 2026
futuREady plan: 36 launches by 2030, 5-7% margin band

29 Jul 2026
H1 2026: 5.2% margin, guidance confirmed

29 Oct 2026

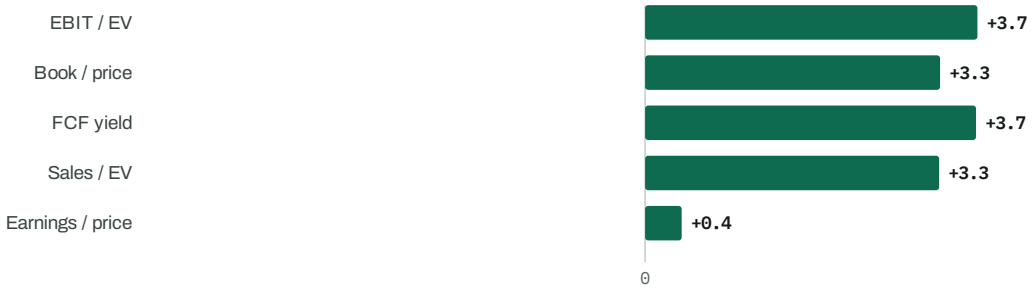
Q3 revenue +1.4% at constant FX, above consensus; guidance confirmed

05 Why the screen picked it

At the 31 December 2025 rebalance our lag rule (fiscal year end + 6 months) meant the score used FY2024 accounts. Renault scored above +3 standard deviations on EV/EBIT, book-to-price, FCF yield and sales-to-EV versus its sector. The EV/EBIT of 1.8x is not a real number: the enterprise value nets the automotive cash but ignores the bank's structure. Read the score as a flag, then rebuild the value by parts.

VALUE SCORE, DEC 2025	ACCOUNTS USED	WEIGHT, DEC 2025	H1 2026 RETURN
+3.48	**FY to 2024-12**	**2.0% / 0.5% / 0.5%**	**−24.3%**
rank 1 of 102 in Consumer Discretionary	year-end + 6-month lag	equal · min-var · mean-var	benchmark +10.8%

Z-scores within sector · Dec 2025 rebalance · above 0 = cheaper than the sector average



MULTIPLE, DEC 2025	RENAULT	PEER MEDIAN	SECTOR MEDIAN
EV/EBIT	1.78x	4.81x	18.33x
P/B	0.35x	0.60x	4.41x
P/FCF	1.94x	4.22x	22.13x
EV/Sales	0.08x	0.18x	2.45x
P/E	13.93x	6.76x	22.16x

Multiples on the accounts the model could use at the time. Peer set: same GICS industry group in the developed universe. Held at: 2021-06, 2021-12, 2022-06, 2023-06, 2023-12, 2025-06, 2025-12.

06 Investment thesis

01 The balance sheet is the floor

Automotive net cash of €6.6bn at June 2026 equals about 86% of the market value. Mobilize Financial Services (the former RCI Banque) adds about €1.5bn of annual operating margin and pays dividends to the car business.

02 The reset is done

Guidance fell from at least 7% margin (early 2025) to about 5.5% for 2026. That guide was confirmed in February, July and October 2026, and the futuREady plan sets a 5-7% through-cycle band. Expectations are now low and credible.

03 A product cycle is starting

futuREady plans 36 launches by 2030 on a two-year development cycle. Clio VI, Boreal, Twingo E-Tech and Duster are already on sale, and Q3 2026 revenue beat consensus (+1.4% at constant FX versus −0.3% expected).

07 Variant perception

Where our reading differs from the obvious one.

WHAT THE MARKET SAYS	WHAT THE EVIDENCE SAYS
“Chinese competition will crush margins.”	Volumes are under pressure, but pricing and mix held. The plan cuts variable cost by about €400 per car a year and development time to two years.

“The cash is trapped and will be burnt.”	The car business generated €1.5bn of free cash flow in 2025, S&P upgraded Renault to investment grade (BBB–) in December 2025, and the €2.20 dividend was paid from that cash.
“Management keeps cutting guidance.”	The new CEO reset targets once, in July 2025. The 2026 guide has since been confirmed three times.
“Nissan is a black hole.”	The stake was written down by €9.3bn in 2025. Our valuation gives it no value, so any monetisation is upside.

08 Financials

LINE	FY2024	FY2025	H1 2026	2026 GUIDE
Group revenue	€56.2bn	€57.9bn	€30.3bn	—
Group operating margin	7.6%	6.3%	5.2%	~5.5%
Net income, group share	€0.75bn	−€10.9bn*	€0.7bn	—
Automotive free cash flow	—	€1.5bn	€0.65bn	~€1.0bn
Automotive net cash (period end)	—	€7.3bn	€6.6bn	—
Dividend per share	—	€2.20	—	—

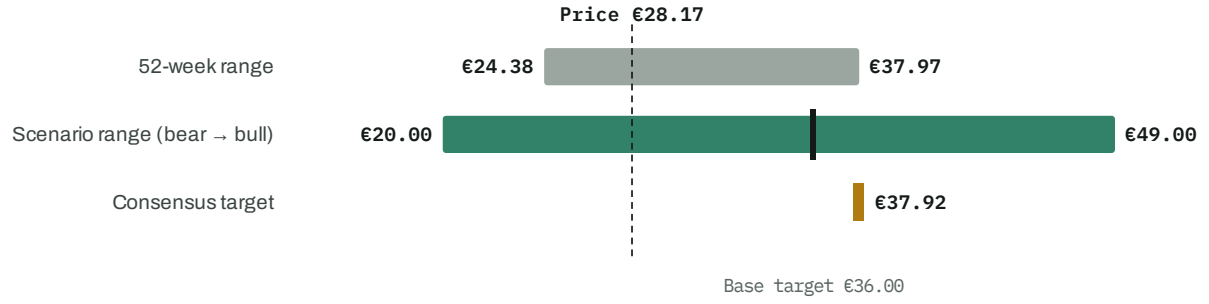
*Includes a €9.3bn non-cash loss on the Nissan stake. FY2024 revenue derived from the +3.0% growth reported for 2025. Sources: Renault FY2025 and H1 2026 releases.

09 Valuation

Method: P/E on 2027 earnings, cross-checked with a sum of the parts. We value Renault on 2027 earnings per share at a single-digit P/E, the range European volume carmakers have traded in through the cycle. Consensus implies about €6.6 of 2026 EPS (price / 4.3x); we use €6.0 in the base case to stay below the street. The sum of the parts is a sanity check, not the target.

SCENARIO	INPUTS	VALUE / SHARE	VS PRICE	WHAT HAS TO HAPPEN
Bear	EPS €4.00 × 5x	€20.00	−29%	Margin falls below the 5% floor; Chinese price war
Base	**EPS €6.00 × 6x**	**€36.00**	**+28%**	**Margin holds around 5.5-6%; dividend maintained**
Bull	EPS €7.00 × 7x	€49.00	+74%	futuREady savings land; margin back above 6.5%

Valuation range · base case marked



Consensus target: €37.92 (+35%). Rating thresholds: Overweight above +15%, Neutral −10% to +15%, Underweight below −10%.

Sum of the parts (cross-check)

COMPONENT	PER SHARE
Automotive net cash (Jun 2026)	€6.57
Mobilize at 7x after-tax earnings	€7.90
Car business, Nissan stake	€0.00
Total	**€14.47**

The listed parts add up to €14.47 per share. At €28.17, the market implicitly values everything else at about €13.70 per share.

10 Catalysts

Nov-Dec 2026

New Megane E-Tech, Dacia Striker, Sandero hybrid and New Spring launches

Year-end 2026

Inventory back to 525-550k vehicles; free cash flow delivered against the €1.0bn guide

Feb 2027

FY2026 results, dividend proposal, first year of futuREady savings

2026-2027

Mobilize dividends ramping toward €500m a year; any Nissan stake monetisation

Jul 2027

H1 2027 results: first full read of the cost programme

11 Risks & sell rules

RISK	MITIGANT
European price war with Chinese brands	Dacia's cost position; plan cuts €400 of variable cost per car a year
Raw-material and energy inflation	Pricing power held in 2026; costs partly passed through
Execution of futuREady	Two-year development cycle already used on 2026 launches
Mobilize credit risk if used-car prices fall	Investment-grade funding; diversified retail book

WE CHANGE THE CALL IF

- 2026 operating margin below 5%, or automotive FCF well below €1bn
- Automotive net cash below €5bn without a clear use
- Another guidance cut at the February 2027 results, or a dividend cut

The bear case, taken seriously

The bear case is a value trap: margins trend down (7.6% in 2024, 6.3% in 2025, ~5.5% in 2026), the low-cost niche is under attack from China, and the net cash is spent on product launches instead of returned. The medium-term band starts at 5%, so a bad year would sit inside management's own range.

12 Interview prep

Questions a portfolio manager is likely to ask, with short answers.

Q Why is Renault's EV/EBIT of 1.8x misleading?

Because the group consolidates a bank. Its debt is the bank's funding, not leverage of the car business, so a single EV is meaningless. We value net cash, MFS and the car business separately.

Q What is the single number that would make you sell?

A 2026 operating margin below 5%, the bottom of management's own band. It would mean the reset was not enough.

Q Why not value the Nissan stake?

Its value is volatile and its monetisation has no timetable. Giving it zero keeps the thesis independent of Nissan.

Q How does a value screen end up holding a carmaker for five years?

Carmakers trade on low multiples through the cycle. Renault was in the top quintile of its sector at every date, so the real question is whether the discount closes, which needs cash returned to shareholders.

13 Glossary

Operating margin	Renault's main profit measure: operating profit before restructuring and one-offs, divided by revenue.
Automotive free cash flow	Cash generated by the car business after capex and R&D, including the dividend received from MFS.

Captive finance arm	A bank owned by a manufacturer to finance its customers and dealers (here Mobilize Financial Services).
Sum of the parts	Valuing each business separately and adding them, instead of applying one multiple to the whole group.

14 Sources

S1	Renault Group, "H1 2026 results" press release, 29/07/2026, via MFN/GlobeNewswire · mfn.se
S2	Renault Group, "Renault Group delivers resilient Q3 revenue and confirms its 2026 financial guidance", 29/10/2026 · media.renaultgroup.com
S3	Ideal Investisseur, summary of Renault FY2025 results, 19/02/2026 · ideal-investisseur.fr
S4	NewMobility News, "Renault's good results overshadowed by recalculation of participation in Nissan", 19/02/2026 · newmobility.news
S5	Profit warning and CEO change: Invezz, 16/07/2025 · invezz.com
S6	Renault Group, "Renault Group launches futuREady, opening a new strategic era", 10/03/2026 · mfn.se
S7	Investing.com via Yahoo Finance, "Renault revenue beats estimates as automaker reaffirms 2026 outlook", 29/10/2026 · finance.yahoo.com
S8	MarketScreener, Renault finances/consensus page, data 29/10/2026 · marketscreener.com
S9	StockAnalysis, Renault statistics, data 29/10/2026 · stockanalysis.com
S10	ad-hoc-news, "Renault reports Q3 growth. Renault stock is valued at EUR 8.1 billion", 29/10/2026 · ad-hoc-news.de

Company figures from filings and releases listed above. Screen data (multiples, z-scores, weights) from the Bloomberg extract of 26-29 October 2026, aggregated. Peers: Stellantis, Volkswagen, Mercedes-Benz, BMW, Toyota, Honda (pipeline peer set, December 2025).

Student research for educational and interview purposes. Not investment advice. Prices as of close, 29 Oct 2026.